

Project 2 — Steps 1–3: Study Notes

Consolidated notes covering: Competitive Benchmarking Foundations | Competitive Landscape | Product Feature Identification for Benchmarking

STEP 1 — Lay the Groundwork for Benchmarking

What Is Competitive Benchmarking?

Competitive benchmarking is how product managers measure their product's performance, features, or user experience against competitors in the same space. It goes deeper than a standard competitive analysis.

Benchmarking vs. Competitive Analysis

Competitive Analysis	Competitive Benchmarking

4. Compare Visually	Side-by-side tables, rating scales, or feature matrices.
5. Interpret Insights	Identify gaps, strengths, and innovation opportunities.

Benchmarking in Action: YouTube Shorts vs. TikTok

YouTube benchmarked TikTok's short-form video success — studying its core feature (short vertical videos), its user behavior (casual discovery + algorithm-driven content), and its explosive growth. YouTube then launched YouTube Shorts, reaching 1.5B logged-in monthly users in under two years. The benchmarking goal: close the short-form video gap and retain users who were drifting to TikTok.

Key lesson: Benchmarking is proactive. You don't wait until users leave — you study rivals to get ahead of where the market is heading.

After mapping the landscape, you select ONE competitor for deep-dive analysis throughout the rest of the project. Criteria for selection:

- Similar users or audience demographics
- Similar product experience or core mechanic
- Poses a strong competitive challenge to BeReal
- Offers clear learning opportunities (what they do better, what gaps exist)

STEP 3 — Identify Product Features for Benchmarking

Benchmarking Metrics & The 3 Growth Levers

Raw metrics (downloads, MAU, revenue) alone don't explain why growth is happening. Benchmarking metrics are comparative — they show how well you perform relative to peers and surface meaningful gaps. Every product's growth depends on three levers:

Growth Lever	What It Means	What to Measure	Example
Acquisition	How new users find and join	Signups, net installs, cost per acquisition	BeReal's referral model; TikTok algorithmic discovery
Retention & Engagement	How well your product keeps users	Day 7/Day 30 retention, DAU/MAU, session length	BeReal's session length feature; Snapchat streaks
Monetization	How effectively engagement converts to revenue	Ad-to-revenue conversion rate, subscription rate	BeReal ad-free upgrades

Case Studies: Balance Wins

Snapchat nailed all three levers: streaks drove daily engagement (retention), auto-suggested friends boosted acquisition via network effects, and guided onboarding activated new users fast. Result: curiosity became habit.

Clubhouse only nailed Acquisition — no discovery tools, no replay, no nudges to return. Twitter benchmarked those gaps and launched Spaces with better discovery. Clubhouse became a cautionary tale.

TL;DR: When benchmarking BeReal, you're asking — does BeReal activate users fast enough? Does it keep them coming back? Does it convert that loyalty into value? Compare across all three levers.

Identifying Growth-Driving Product Features

Not all features drive growth equally. A growth-driving feature is one that directly improves Retention & Engagement (and therefore increases MAUs). When analyzing features, ask:

- Does this feature make users come back more often?
- Does it keep users active longer per session?
- Does it create habits or daily rituals?
- Does it lower friction in returning to the app?

Step 3 Task Workflow

